



CANONICAL ECONOMIC ARCHITECTURE · PUBLIC

The AETHEL Tokenomics Paper

Economic Model of the AETHEL Token

The canonical economic-design document for AETHEL, the native protocol-utility token of the Aethelred network: its function, utility, supply architecture, release discipline, and regulatory boundary.

Issuing entity	Aethelred DLT Foundation (in formation, ADGM)
Document	Tokenomics Paper, Version 2.0 (Public Canonical)
Date	June 2026 · supersedes v1.2 (May 2026)
Token	AETHEL · 10,000,000,000 fixed at genesis · 0% post-genesis inflation
Legal nature	Protocol-utility token; not a token regulated by the FSRA (DLTR 2023 s.3(1)(b))
Target TGE window	Abu Dhabi Finance Week (ADFW), December 2027, gated on audit and operational readiness
Launch price & valuation	Governed: disclosed only on formal Foundation announcement
Classification	Public, approved for website publication and Registrar review

This Tokenomics Paper is prepared pursuant to the Distributed Ledger Technology Foundations Regulations 2023 ("DLTR 2023") and describes the economic model of the AETHEL token: its function, utility, and compliance posture. It is read together with the Aethelred Protocol Whitepaper and the Aethelred DLT Foundation Charter. It is not an offer of securities or regulated financial products, an invitation to invest, or financial advice. Launch price, valuation, listing, and market-making details are governed and disclosed only on formal Foundation announcement.

AETHELRED DLT FOUNDATION

SECTION 1

Executive summary

AETHEL is the native protocol-utility token of the Aethelred network. Its economic design is utility-first and supply-disciplined: a fixed genesis supply, zero post-genesis inflation, demand-gated useful-work rewards, and a governed release schedule with hard monthly unlock guardrails.

The economic intent is to align validator and ecosystem incentives with verified, economically meaningful AI computation rather than with inflationary issuance, and to keep supply discipline, public disclosure, and governance consistent across every surface. The token is a means of paying for and securing verifiable compute; it is not an ownership interest, a claim on revenue, or a promise of return.

1.1 Public metrics at a glance

METRIC	CURRENT PUBLIC POSITION
Token	AETHEL
Total supply	10,000,000,000 AETHEL, fixed at genesis
Post-genesis inflation	0% under the canonical economic policy
Initial circulating supply at TGE	1,000,000,000 AETHEL (10.0% of total supply)
Monthly unlock ceiling	1.25% of total supply, throttled by liquidity-volume gates
Denomination	uaethel (6 decimals); 18-decimal execution compatibility where required
Genesis buckets	13 (see Section 6)
Target TGE window	ADFW, December 2027 (public); launch price governed

SECTION 2

Disclosure posture & public boundary

Economic facts are classified by disclosure state. Code-backed and canonical facts are public; pricing and market-execution facts are governed and disclosed only when approved.

ECONOMIC FACT	CLASS	STATE
Supply & inflation policy	Public	Code-backed and canonical
Genesis allocation & vesting	Public	Canonical
Unlock guardrails	Public	Canonical
Utility & fee roles	Public	Canonical

Launch price & TGE valuation	Governed	Disclosed only on Foundation announcement
Listing & market-maker arrangements	Governed	Withheld pending approval

SECTION 3

Economic design principles

- **Fixed supply, no inflation.** Ten billion AETHEL are minted at genesis and hard-capped in code, with zero post-genesis inflation under the canonical posture.
- **Demand-gated rewards.** Validator rewards are funded by job fees and a demand-gated useful-work pool, not by perpetual emission.
- **Sustainable consensus.** Because Proof-of-Useful-Work ties consensus to real AI inference, the network does not require wasteful hashing or idle stake; energy spent on security is energy spent on useful computation.
- **Release discipline.** Every bucket has a canonical release shape; monthly unlocks are capped and volume-throttled.
- **Governed disclosure.** Pricing and market facts are published only when approved, so public claims never run ahead of approvals.

SECTION 4

Token nature & intended use

4.1 What AETHEL is

AETHEL is a protocol-utility token used to access, pay for, and secure verifiable computation on the Aethelred network. Its functions are: staking and validator security; slashing collateral; settlement of network and per-inference proof fees; governance participation through the Voting of Tokenholders on Delegated Matters defined in the Charter; settlement of verified-compute jobs; and burn-based supply reduction through the fee market.

4.2 What AETHEL is not

AETHEL is not, and is not represented as, an ownership interest or share in the Foundation or any entity; a claim on revenue, profit, or dividends; a debt instrument or deposit; a redemption right; a guarantee of appreciation or return; or a promise of exchange listing or liquidity. AETHEL is a protocol-utility token and is not a token regulated by the ADGM Financial Services Regulatory Authority (FSRA) within the meaning of DLTR 2023 s.3(1) (b). The Foundation conducts no activity requiring a Financial Services Permission.

4.3 Compliance posture

The issuance, marketing, and dealing of AETHEL are conducted in compliance with applicable ADGM, Abu Dhabi, and UAE laws, including anti-money-laundering, sanctions, consumer-protection, and data-protection requirements, consistent with the Foundation's Relevant Obligations under DLTR 2023.

SECTION 5

Supply architecture & denomination

PARAMETER	VALUE
Total genesis supply	10,000,000,000 AETHEL
Supply model	Fixed at genesis; hard-capped in code
Post-genesis inflation	0%
Initial inflation basis points	0
Target inflation basis points	0
Smallest denomination	uaethel (1 AETHEL = 1,000,000 uaethel)

Any attempt to publish an inflationary public posture would require a corresponding revision of canonical documents and disclosures. The Foundation does not intend to introduce post-genesis inflation under the canonical economic policy; the supply-change boundary is a governed, code-backed constraint rather than a discretionary parameter.

SECTION 6

Genesis allocation architecture

The following table is the canonical reference for the AETHEL distribution. It sets out each genesis bucket with its supply share, absolute allocation, and post-TGE release model.

BUCKET	SHARE	AETHEL	RELEASE SHAPE
PoUW Useful-Work Rewards	26.0%	2,600,000,000	Demand-gated release over 120 months
Core Contributors	18.0%	1,800,000,000	12-month cliff, then 60-month linear
Private Investors	12.0%	1,200,000,000	SAFT-governed lockups
Ecosystem & Developer Grants	11.0%	1,100,000,000	72-month milestone-led
Aethelred Labs Treasury	8.0%	800,000,000	12-month cliff, then 72-month linear
Community Airdrop	5.0%	500,000,000	40% at TGE, then 12-month linear
Public Community Sale	4.0%	400,000,000	100% unlocked at TGE
Launch Liquidity & Market-Making	4.0%	400,000,000	75% at TGE, then 18-month
Foundation Reserve	3.0%	300,000,000	24-month cliff, then 72-month linear

Strategic Reserve	3.0%	300,000,000	48-month cliff, then 60-month linear
Strategic Ecosystem Fund	3.0%	300,000,000	12-month cliff, then 60-month linear
Slashing & Security Insurance	2.0%	200,000,000	24-month cliff, claim-driven
Advisors	1.0%	100,000,000	12-month cliff, then 48-month linear
Total genesis	100.0%	10,000,000,000	10% TGE float (1,000,000,000)

Private Investors is a combined allocation covering all pre-TGE investment rounds (including the pre-seed and seed). Round-by-round entry terms are governed and disclosed under the Foundation's disclosure controls and the Charter.

SECTION 7

Initial circulating supply at TGE

Initial circulating supply at TGE is exactly 1,000,000,000 AETHEL (10.0% of total supply). The following reconciliation is exact across non-insider source buckets. No core-contributor, advisor, treasury, foundation, or strategic-reserve tokens enter circulation at TGE.

SOURCE BUCKET	TGE CONTRIBUTION	% OF TGE FLOAT
Public Community Sale	400,000,000	40.0%
Launch Liquidity & Market-Making	300,000,000	30.0%
Community Airdrop (initial release)	200,000,000	20.0%
Ecosystem & Developer Grants	50,000,000	5.0%
Private Investors (initial release)	35,000,000	3.5%
PoUW Useful-Work seed	15,000,000	1.5%
Total TGE float	1,000,000,000	100.0%

Insider categories contributing zero AETHEL to the TGE float include core contributors, advisors, the Aethelred Labs Treasury, the Foundation Reserve, the Strategic Reserve, and the Strategic Ecosystem Fund.

SECTION 8

Vesting, release schedule & unlock guardrails

Post-TGE circulating supply increases from the 10% TGE float according to the per-bucket release shapes in Section 6, subject to a hard monthly guardrail. The schedule is enforced in code.

8.1 Monthly unlock cap

The monthly scheduled release is capped at the lower of: (a) 1.25% of total supply; (b) a figure throttled by trailing 30-day spot volume; and (c) a non-insider free-float constraint. There are no buybacks, no price floors, and no market stabilisation built into the token policy.

8.2 Indicative cumulative-supply trajectory

MILESTONE	INDICATIVE CUMULATIVE CIRCULATING SUPPLY
TGE (ADFW Dec 2027)	10% (1.00B)
TGE + 12 months	Subject to cap and per-bucket cliffs
TGE + 24 months	Subject to cap; major contributor cliffs begin
TGE + 60 months	Majority of linear schedules complete
Long-run	100% of fixed supply, no further issuance

Cumulative figures beyond TGE are governed by the monthly cap and the per-bucket schedules and are not published as fixed monthly numbers; the canonical schedule in code is the definitive reference.

8.3 Why the guardrail exists

The guardrail prevents disorderly post-TGE supply expansion, aligns insider incentives with long-term network maturity through long cliffs, and ensures that scheduled releases cannot overwhelm available liquidity. It is a protective constraint, not a discretionary lever.

SECTION 9

Utility flows

FLOW	ROLE OF AETHEL
Verified-compute settlement	Per-inference proof and attestation fees are paid in AETHEL by enterprises running attested workloads.
Staking & validator security	Validators bond AETHEL to participate in PoUW consensus and earn job-linked rewards.
Slashing collateral	Bonded AETHEL is at risk for verification failures, downtime, or misbehaviour.
Governance	Tokenholders vote on Delegated Matters (including Qualified Matters) under the Charter.
Fee burn	A base-fee burn permanently removes AETHEL from supply as demand rises.
Ecosystem & grants	Milestone-based grants fund developers and integrators building on the protocol.

SECTION 10

Validator & staking economics

Network participation is collateralised: validators bond AETHEL and are rewarded for verified useful work rather than for inflationary issuance. Because rewards come from job fees and a demand-gated pool, validator economics scale with real network usage.

- **Security bonding.** A minimum validator stake (design target: 100,000 AETHEL) aligns operator incentives with network integrity.
- **Zero-inflation discipline.** Validator rewards are funded by job fees and the demand-gated useful-work pool, not by new issuance, so security does not dilute holders.
- **Slashing philosophy.** Slashing is proportionate and evidence-based, targeting verification failure, unavailability, and provable misbehaviour, with a Slashing & Security Insurance Reserve (2% of supply) sized for exceptional events.

SECTION 11

Fee market & burn mechanics

Network fees are paid in AETHEL. A congestion-linked base-fee burn permanently removes a portion of fees from supply, so that demand pressure tightens net supply alongside the fixed cap, without any offsetting inflation. The burn is a structural fee-market property, not a discretionary buyback or price-support mechanism. Over time, sustained network demand produces deflationary pressure on the fixed supply.

SECTION 12

Launch parameters

PARAMETER	PUBLIC POSITION
Target TGE window	Abu Dhabi Finance Week (ADFW), December 2027
TGE gating	Audit completion, formal verification, and operational-readiness gates
Initial circulating supply	1,000,000,000 AETHEL (10% of supply)
Launch price	Governed: disclosed only on formal Foundation announcement
TGE valuation (FDV / market cap)	Governed: disclosed only on formal Foundation announcement
Listing & market-making	Governed: withheld pending approval

Consistent with the Foundation's disclosure discipline, launch price and valuation are not published in this public document. They are set and disclosed by the Foundation, with reference to market conditions and approvals, on formal announcement.

SECTION 13

Governance, treasury & change control

The economic policy is governed by the Aethelred DLT Foundation under DLTR 2023. The Tokenomics Paper is approved by the Foundation Council by Resolution of Councillors, and may be updated only

where necessary for the furtherance of the Foundation's objects, with the confirmation of the Founder (until Founder Resignation) and, where AETHEL confers voting rights on the relevant Delegated Matters, the Qualified Resolution of Tokenholders. Any amendment is filed with the Registrar within 14 days of taking effect.

Treasury and reserve buckets are managed solely for the attainment of the Foundation's objects and in accordance with the Charter. The Slashing & Security Insurance Reserve is framed as security capacity and not as a price-support or buyback instrument.

SECTION 14

Regulatory & operating boundary

AETHEL is a protocol-utility token issued by a DLT Foundation under DLTR 2023 and is not a token regulated by the FSRA. The Foundation does not carry on any activity for which a Financial Services Permission is required, and nothing in this paper is an offer of securities or regulated financial products, an invitation to invest, or financial advice. Where any activity might require regulatory authorisation, it will be undertaken only with the appropriate approval structure in place. Marketing and dealing in AETHEL comply with applicable ADGM, Abu Dhabi, and UAE requirements, including AML, sanctions, consumer-protection, and data-protection rules.

SECTION 15

Risk factors

Token-economic risks include: market and liquidity risk; launch-timing risk (the ADFW December 2027 window is contingent on audit and operational-readiness gates); regulatory and legal-timing risk, including ADGM registration; smart-contract and vesting-contract risk; validator-economics and slashing risk; and adoption risk affecting demand-gated reward funding. Token prices, where they exist, are highly volatile and cycle-dependent. Nothing in this document is a forecast or a guarantee of value, liquidity, or return.

Disclaimer. This document is provided for informational purposes only and is read together with the Aethelred Protocol Whitepaper and the Aethelred DLT Foundation Charter. It does not constitute legal advice, financial advice, an offer to sell, a solicitation to buy, or a commitment to regulatory approval, token launch, exchange listing, or commercial execution on any timeline. The Aethelred DLT Foundation is in formation; references to the Foundation describe an entity in the process of registration under DLTR 2023. Public statements may change as technical, legal, commercial, and regulatory facts evolve and are approved for disclosure.